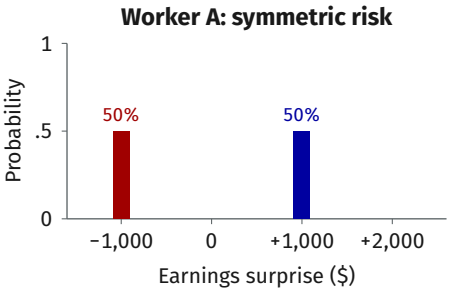
Beyond Variance

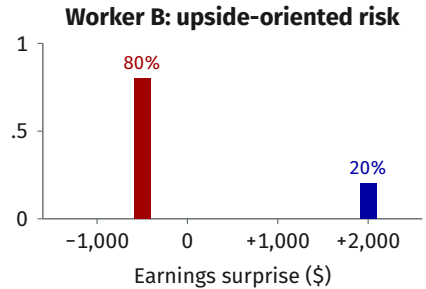
Asymmetric Labor Income Risk and Portfolio Entry

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Job Market Paper · October 2026

Variance and earnings composition





Same mean surprise: \$0 Same variance: $\$1{,}000^2$

Stock market entry?

Upside earnings opportunities and stock-market entry

Finding

Upside earnings opportunities predict stock-market entry. At similar total variance and measured resources, a more upside-oriented earnings distribution predicts more entry among initial nonholders.

Entry difference per source SD of composition	**+1.60 percentage points**
Mean annual entry	8.82%
Economic size	About 16 more entrants per 1,000

Why separate the two sides?

Upside and downside variation have opposite entry associations; total variance can conceal this difference.

In the fitted model, cell dynamics recover opposing signs missed by pooling. Resources drive the composition difference, which remains much smaller than in the data.

▶ Economic contribution ▶ Coefficient units

Economic contribution

The main contribution is to establish the economic importance of upside earnings opportunities for stock market entry.

Separating favorable from adverse variation reveals substantial, opposing entry associations that an imprecise variance–entry relationship conceals.

Three connected questions

1. Which features of earnings risk matter for portfolios?
2. How do households become investors?
3. What should portfolio models explain beyond average holdings?

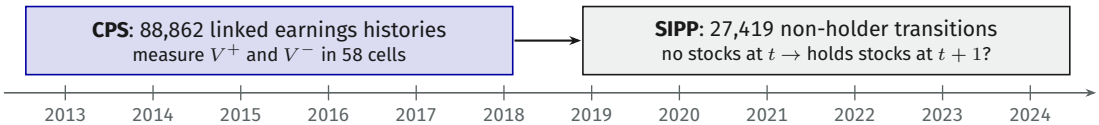
Builds on earnings-skewness evidence in Catherine, Sodini & Zhang (2024) and Shen (2024), and ownership transitions in Bonaparte et al. (2025).

▶ Measurement comparisons ▶ Closest studies ▶ Related work in progress

Plan for the talk

1. **Measure:** where does earnings variation come from?
2. **Evidence:** who starts investing, and who keeps holding?
3. **Checks:** earnings measurement, sorting and reporting
4. **Model:** what do cell earnings dynamics add, and through which channel?

Data and timing



- **CPS:** earnings distributions in 58 industry–education–age cells
- **SIPP:** historical risk assigned by baseline cell
- **Entry:** next-year stock/mutual-fund ownership among initial nonholders
  Outside retirement accounts

Earlier earnings data reduce the scope for a current shock to drive both measured risk and investment.

▶ Sample and units ▶ Why earlier measurement?

Split earnings variance into two parts

Start with age-adjusted earnings growth in a worker group.

Measure each outcome relative to that group's mean.

$$V^- = \mathbb{E}[(\epsilon - \mu)^2 \mathbf{1}\{\epsilon < \mu\}], \qquad V^+ = \mathbb{E}[(\epsilon - \mu)^2 \mathbf{1}\{\epsilon > \mu\}].$$

Amount of variation

$$V = V^+ + V^-$$

Balance of gains and losses

$$C = V^+ - V^-$$

At fixed V, higher C shifts variation from the lower to the upper side.

▶ Earnings construction ▶ Numerical example

Relation to skewness

	Composition C	Conventional skewness
Construction	Signed squared deviations	Cubed deviations, divided by SD^3
Interpretation	Upper minus lower contributions to variance	Standardized third moment
Extreme observations	Squared weighting	Cubed weighting

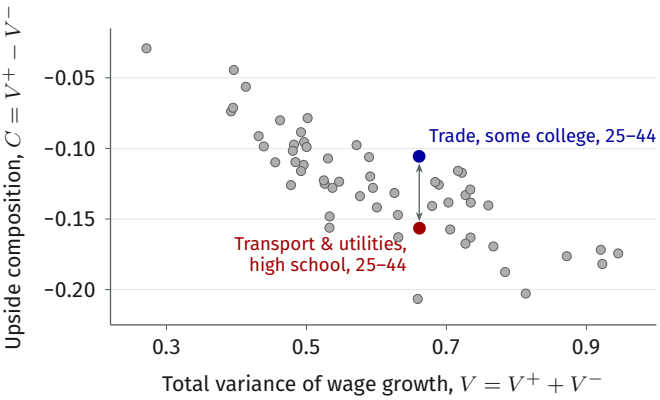
Both describe asymmetry. They are closely related in these data.

Why this measure? Additive variance decomposition; higher measured reliability (0.73 vs. 0.39).

These results do not show that composition predicts entry better than skewness.

▶ Saved skewness comparisons

Variation across earnings cells



58 earnings cells

Highlighted pair:
Variance ≈ 0.66
Composition gap ≈ 1.5 source SD

All cells: $C < 0$
Relative upside measure

$\text{corr}(C, V) = -0.81.$

Entry at similar total variance and resources

$$H_{i,t+1} = \alpha + \beta \frac{C_c - \bar{C}}{s_C} + \text{controls}, \qquad H_{it} = 0.$$

Outcome	Stock/mutual-fund entry next year: 0 or 1
Total earnings variance	V and $\sqrt{V}$: the amount of earnings variation
Mean earnings growth	Mean growth and its square
Resources	Initial assets, earnings and nonpositive-earnings indicator
Demographics	Age, age squared and sex
Fixed effects	Industry, education, age band and outcome year

Weighted linear probability model; industry–education clustered inference.

▶ Full specification ▶ Why education and sex?

Earnings composition and next-year entry

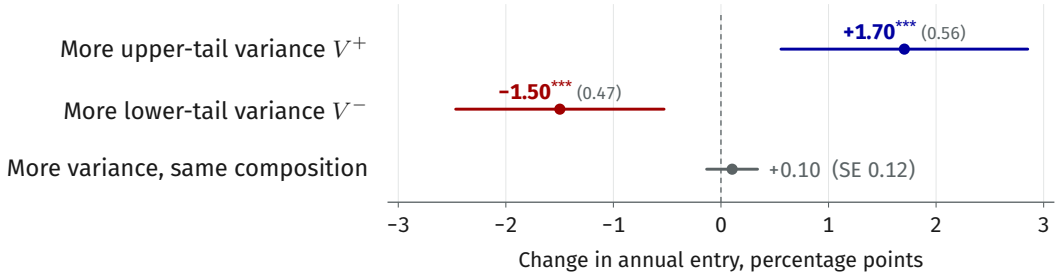
Composition and entry	Estimate
Entry difference per source SD	$+1.60$ pp
Clustered standard error	0.51 pp
Mean annual entry	8.82%
Initial nonholder transitions	27,419

About 16 more entrants per 1,000 initial nonholders.

Roughly 18% of the mean entry rate, at similar dispersion and resources.

▶ All earnings measures ▶ Coefficient units ▶ Published magnitudes

Upper and lower variation imply different entry patterns



Three contrasts from the same regression. A zero variance response is not imposed.

The upper and lower estimates nearly offset when both tails increase equally.

▶ Why the estimates are related

What the next checks address

Concern	Comparison
Earnings definition or zero wages	Four earnings constructions, same SIPP entry sample
Group differences and changing conditions	Richer group and time controls
Ownership reporting or household changes	Reported, self-reported, stable households
Another survey and period?	PSID entry, full sample and exploratory age groups
Only temporary entry?	Entry together with later ownership; longer followup cohorts
Do individuals' beliefs line up?	SCE subjective expectations and retirement portfolios

▶ Why the samples differ

Checks tied to specific concerns

Each check changes the baseline separately.

Concern	Specification	Estimate, pp (SE)	Nonholders
	Prospective baseline	1.646^{**} (0.599)	24,235
Group-year conditions	Industry $\times$ year; education $\times$ year	1.663^{**} (0.619)	24,235
Persistent group sorting	Instead: industry $\times$ education effects	1.865^{**} (0.875)	24,235
Reporting and household changes	Reported, self-reported, stable households	2.557^{***} (0.555)	11,229
Realized earnings: a separate common sample of 23,261 nonholders			
	Baseline	1.518^{**} (0.587)	23,261
	Add annual earnings level and change	1.574^{**} (0.586)	23,261

▶ Sorting ▶ Samples

Evidence from the PSID

Biennial entry among initial nonholders; baseline years 1999–2017.

Age range	Composition (pp)	SE
Full sample: 25–65	-0.18	0.39
Exploratory age split		
25–44	2.42^{**}	1.11
45–65	-0.98	1.01

No clear full-sample association; a positive estimate among younger workers.

PSID uses different households. Some outcomes occur before the CPS earnings data, so this is not the same timing design as SIPP.

▶ Later-period age comparison ▶ Period differences

Entry followed by later ownership

Within each column: the same nonholders, two outcomes.

Follow-up cohort	One later interview	Two later interviews
Entry alone (pp)	2.09^{***} (0.70)	3.31^{**} (1.43)
Entry + later ownership (pp)	0.98^{*} (0.50)	1.89^{**} (0.79)
Required sequence	$0, 1, 1$	$0, 1, 1, 1$
Initial nonholder transitions	9,236	3,254

The outcome requires entry *and* ownership at subsequent interviews.

It combines entry and later holding. It does not establish better retention among people who enter.

Longer followup requires smaller complete-observation cohorts.

▶ Entry and interruption ▶ Selection among entrants

What about exit?

A separate risk set: people who already own stocks.

Next-year exit among initial holders	Composition estimate
Exit coefficient	$+3.72$ pp
Clustered standard error	1.71 pp
Wild-cluster bootstrap p-value	0.12

The estimate points toward more exit, but inference is sensitive.

More marginal investors entering and later exiting is one possible explanation. This regression does not test that channel.

▶ Holder outcomes ▶ Selection and interpretation

Upside beliefs and risky reallocation

Survey of Consumer Expectations (SCE), retirement accounts

Belief measure	Reallocation	Equity share
Upside-minus-downside tilt	$\mathbf{0.028}^{**}$	-0.576
	(0.013)	(0.664)
Sum of semideviations	-0.017	$\mathbf{-3.805}^{***}$
	(0.018)	(1.011)
Respondents	2,136	3,332
Controls	Expected earnings growth, age, education and income	
Fixed effects / SEs	State and module year / 50 state clusters	

Reallocation score: $+1$ riskier, -1 safer, 0 unchanged. Equity share: percentage points.

Earnings composition and participation decisions

- **Main result:** more upside-oriented variation predicts more next-year entry at similar dispersion and resources.
- **Later ownership:** the association also appears for entry followed by ownership at later annual observations.
- **Economic question:** how does the earnings environment relate to a nonholder's subsequent investment decision?

The model assesses the signs and magnitude of this entry pattern.

▶ Entry and retention

A simple illustration: earnings arrive before investment.

$$\underbrace{w}_{\text{resources before earnings}} + \underbrace{Y}_{\text{realized earnings}} \geq \underbrace{w^*}_{\text{participation threshold}} .$$

A fixed participation cost is easier to justify when more money can be invested.

Earnings gains can move households across this threshold; losses can move them below it.

This illustration fixes the threshold. In the dynamic model, expected future earnings also affect saving and investment decisions.

▶ Numerical example ▶ Derivation

What do cell earnings dynamics add?

The test: compare cell and pooled earnings dynamics at the same fitted financial parameters.

Existing model work	What it shows
Catherine (2022, RFS)	Earnings skewness matters even at matched variance.
Gálvez & Paz-Pardo (2026, JFE)	Compare income-risk portfolio regressions in data and estimated models.

Here: do cell dynamics recover the opposing entry signs, and why?

The entry–composition coefficients are not fitting targets.

▶ Published comparisons ▶ Scope

Testing the composition-entry relationship

1. Estimate earnings processes from CPS and PSID earnings moments.
2. Fit five financial parameters to eight SIPP financial outcomes.
3. Predict entry under cell and pooled earnings dynamics.
4. Apply the empirical entry regression to those predictions.

Question: do cell dynamics recover the observed signs, and what generates the difference?

Related risk-regression comparison: Gálvez & Paz-Pardo (2026).

▶ Initial states ▶ Published precedents

What households know when they choose

Before choice	Current earnings and asset returns have arrived. Cash M_t, earnings state, access and participation cost are known.
Choice	Consume, save, and decide whether to hold stocks. Choose the risky share if participating.
After choice	Next earnings and returns remain uncertain. Their distributions enter expected continuation utility.

$$c_t + A_t + D_t K_t = M_t, \qquad M_{t+1} = A_t R_{t+1}(\alpha_t) + Y_{t+1}.$$

Y: resources after taxes and own retirement contributions.

Prior holders have access. Nonholders receive an opportunity with probability q. Holding pays K_t; participation requires a funded position.

▶ Recursive problem ▶ Constraints ▶ Realizations and expectations

An earnings law gives the probabilities of future wages and wage work.

Shared career structure	Two education processes: age profiles and persistent / temporary shocks
Group wage levels	30 industry–education groups
58 earnings cells	Industry–education–age adjustments to growth, shock scale, asymmetry and departures from wage work

Broad career patterns are shared; the cells allow local earnings risks to differ.

This structure limits the number of separately estimated processes.

Survey reporting errors change measured wages, but do not add money to the household's budget.

▶ Equation and states ▶ Education parameters ▶ Cell adjustments

Calibration and parameter estimates

Calibration and data inputs

Inputs held fixed	Value / source
Safe gross real return	1.02
Ordinary stock gross mean / SD	1.06 / 0.18
Annual crash probability	1%
Crash net real return	-48.5%
EIS ψ	0.5
Earnings laws / resources	CPS / PSID
Observed initial states	SIPP

Estimated financial parameters

Parameter	Estimate
Risk aversion γ	8.801
Discount factor β	0.811
Recurring mean κ_R	\$524
Log-cost dispersion σ_κ	0.944
Opportunity probability q	0.176

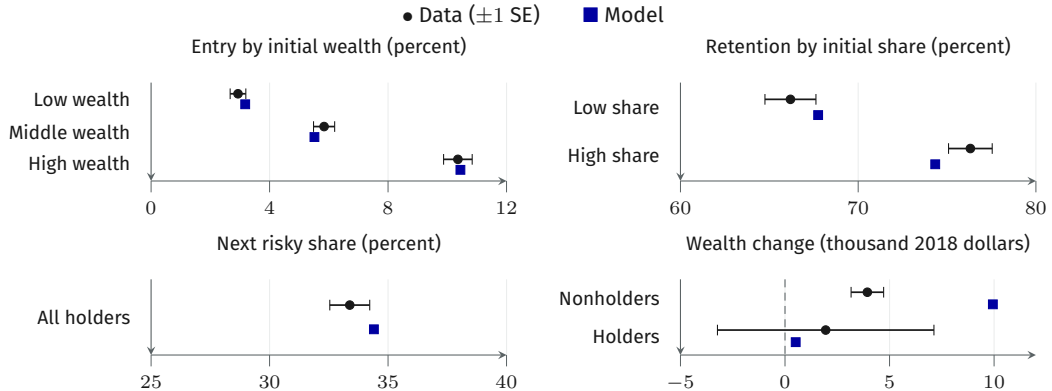
Joint simulated method of moments (SMM): five common parameters, eight financial targets.

Preferences: Epstein–Zin. **Calibrated:** returns and EIS. **Estimated separately:** earnings laws. **From data:** resource profiles and initial household states.

▶ SMM targets and weighting ▶ Financial fit ▶ Criterion and numerical checks

Financial targets: data and model

Eight financial moments; five estimated parameters



Main discrepancy: excessive wealth growth among initial nonholders.

◀ Back ▶ Full target table ▶ Index

What changes between cell and pooled laws?

	Cell	Pooled
Education processes and group wage levels	Retained in both	
58 cell adjustments	Included	Set to zero
Households and financial parameters	Same initial states and fitted parameters	
Future earnings	Cell distributions	Pooled distributions
Choices	Best saving and portfolio choices for cell laws	Best saving and portfolio choices for pooled laws

Changing future earnings changes the resources households reach and the choices they make. Re-solve choices under each earnings law.

The comparison changes the full law, including mean growth.

▶ Law and policy contributions ▶ Law mapping

Apply the same regression to model entry probabilities

	Data	Model
Outcome	Entry observed: 0 or 1	Predicted entry probability
Households	The same 17,606 initial nonholders	
Right-hand side	Same risk measures, controls, fixed effects and weights	

Average over earnings, opportunities and costs, conditioning each origin on next-year wage work and positive assets.

Compare gross cell predictions with data.

Subtract pooled predictions to describe the contribution of cell earnings laws.

The matched data coefficient is 1.816 pp; the full-sample headline is 1.601 pp.

▶ Why probabilities do not shrink coefficients ▶ Matched sample

Cell dynamics recover the opposing entry signs

Earnings moments are fitted; these entry–risk coefficients are not.

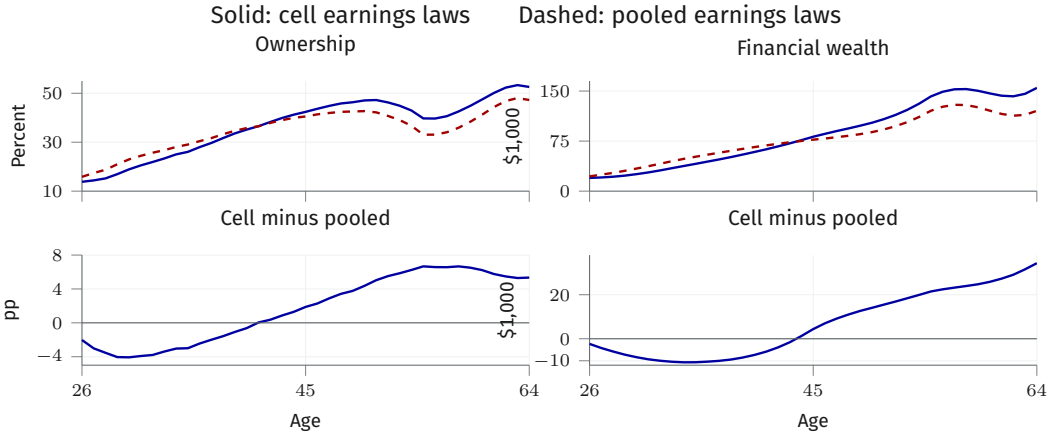
Entry estimate (pp)	Data	SE	Cell	Pooled	Net
Composition	1.816^{***}	(0.480)	0.241	-0.005	0.247
Upper tail	1.967^{***}	(0.513)	0.115	-0.116	0.230
Lower tail	-1.665^{***}	(0.470)	-0.368	-0.105	-0.263
Dispersion	0.151	(0.104)	-0.127	-0.110	-0.016

- Pooled: both tail estimates negative. Cell: upper positive, lower negative.
- Neither relationship is targeted. Both cell estimates remain much smaller than in the data.

▶ Law and policy contributions ▶ Coefficient figure ▶ Why the test is informative

Ownership and wealth paths

Same 135 age-25 origins; two college cells; simulated paths



What the model explains and what it misses

- Cell dynamics recover the opposing entry signs that pooled dynamics miss.
- Earnings paths change investable resources. Reoptimized rules partly offset the composition difference.
- Entry coefficients remain much smaller than in the data.
- Nonholders accumulate too much wealth; former holders re-enter too slowly.

Cash-dependent opportunities and lower recurring costs do not resolve the completed magnitude comparison.

▶ Law and policy accounting ▶ Financial discrepancies ▶ Completed alternatives

Upside earnings opportunities and stock-market entry

- **Finding:** upside earnings opportunities predict stock-market entry at similar total variance and measured resources.
- **Magnitude:** 1.60 percentage points per source SD of composition, about 16 more entrants per 1,000 initial nonholders.
- **Contribution:** separating upside from downside variation reveals economically important differences that total variance conceals.
- **Model:** cell dynamics recover signs missed by pooling, mainly through resources available to invest. Entry differences remain too small.

▶ Closest empirical papers ▶ Discussion appendix

Discussion questions

Empirical interpretation

- ▶ Which literature uses variance?
- ▶ Is this different from skewness?
- ▶ Why education and sex controls?
- ▶ Why is the variance estimate near zero?
- ▶ What is one standard deviation?
- ▶ Is sustained ownership mechanical?
- ▶ What happens to exits?
- ▶ Why do the samples change?
- ▶ Inference and measurement
- ▶ PSID and period comparisons

Model interpretation

- ▶ What exactly is an earnings law?
- ▶ Realizations or expectations?
- ▶ How are the two lines generated?
- ▶ Why regress on probabilities?
- ▶ Financial fit
- ▶ Which model horse races?
- ▶ Entry opportunities and costs
- ▶ Earnings-law and policy accounting
- ▶ Completed magnitude experiments
- ▶ Windfall comparison

◀ Back

Earlier evidence on income risk and portfolios

Study	Empirical risk measure
Guiso, Jappelli & Terlizzese (1996, AER)	Subjective income uncertainty
Angerer & Lam (2009, JF)	Permanent and transitory income variability
Fagereng, Guiso & Pistaferri (2018, ReStud)	Firm-transmitted uninsurable wage risk

This paper studies the balance of above- and below-mean earnings variation and subsequent entry.

Different income-risk measures and portfolio outcomes imply different empirical comparisons.

◀ Back ▶ Theory and measurement

Earnings growth

1. Annual nominal wage growth

$$g_{i,t+1} = \frac{2(y_{i,t+1} - y_{it})}{y_{i,t+1} + y_{it}}, \qquad y_{it} > 0, \quad y_{i,t+1} \geq 0.$$

y_{it}: annual wages of CPS worker i in earnings year t. Zero destination wages: $g_{i,t+1} = -2$.

2. Remove the industry–education age profile

$$\epsilon_{i,t+1} = g_{i,t+1} - \left(\widehat{\theta}_{0G} + \widehat{\theta}_{1G} z_{it} + \widehat{\theta}_{2G} z_{it}^2 + \widehat{\theta}_{3G} z_{it}^3\right).$$

CPS-weighted cubic within industry–education group G.
$z_{it} = (a_{it} - 45)/20$; a_{it} is age at the first interview.

3. Center within the earnings cell

$$\mu_c = \mathbb{E}_c[\epsilon], \qquad \text{within-cell deviation} = \epsilon_{i,t+1} - \mu_c.$$

c: industry–education–age-band cell.

Retirement contributions

Initial non-IRA stock ownership	Composition (pp)	SE
Nonholders	0.22	0.33
Holders	6.36***	2.19
Holder minus nonholder	6.14**	2.33

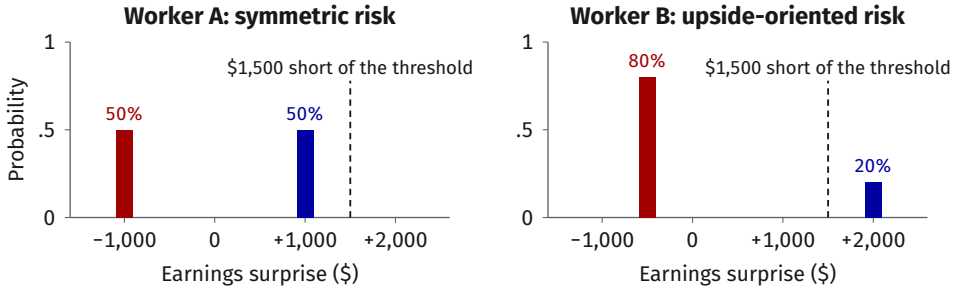
Outcome: any private IRA or annuity contribution

Household expenditure

Asinh dollar scale	Furnishings/ equipment $1,000	Selected nondurables/ services $10,000	Food $10,000
Wage composition, holding variance fixed			
Initial nonholders	0.007	0.001	0.002
	(0.013)	(0.008)	(0.005)
Initial holders	0.114***	0.012	0.009
	(0.041)	(0.020)	(0.017)
Holder minus nonholder	0.107**	0.011	0.006
	(0.046)	(0.024)	(0.019)
Baseline-weight-share average	0.027**	0.003	0.004
	(0.012)	(0.006)	(0.004)
Dispersion, holding composition fixed			
Initial holders	0.021***	0.003	0.001
	(0.006)	(0.004)	(0.003)
33,353 observations; 30 industry–education clusters			

Furnishings: stronger association among initial holders

Earnings gains near the threshold



Entry probability: **0%** for A **20%** for B

Earnings risk and stock market participation

Saving, entry opportunities and holding costs

Budget and portfolio constraints

$$c_t + A_t + D_t \kappa_R \xi_t = M_t,$$

$$M_{t+1} = A_t\{R_{f,t+1} + \alpha_t(R^s_{t+1} - R_{f,t+1})\} + Y_{t+1}.$$

- Participation: $D_t \in \{0, 1\}$, with $D_t \leq a_t$.
- $0 \leq \alpha_t \leq D_t$; no borrowing or short positions.
- Funded equity: $\alpha_t A_t \geq \$1 \times D_t$.

Entry opportunities and holding costs

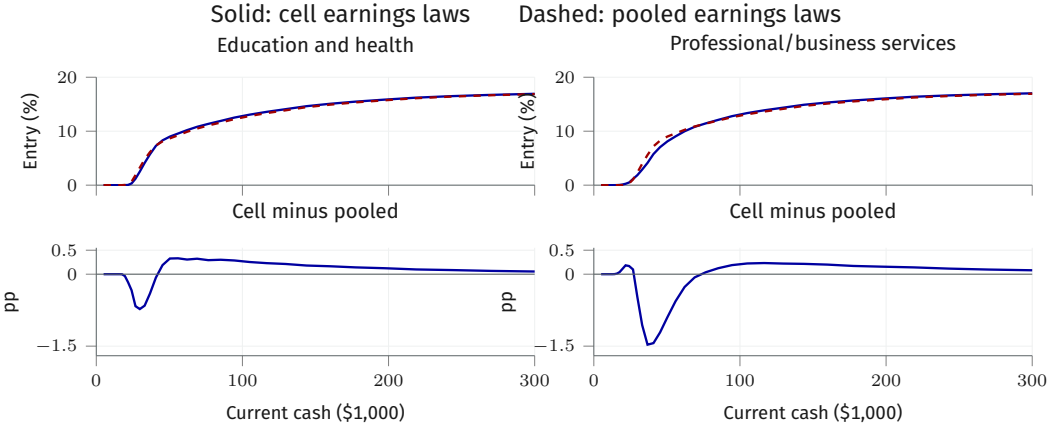
$$\Pr(a_t = 1 \mid D_{t-1}) = D_{t-1} + (1 - D_{t-1})q, \qquad q = 0.176.$$

$$K_t = \kappa_R \xi_t, \qquad \mathbb{E}[\xi_t] = 1, \qquad \kappa_R = \$524.$$

- Nonholders: a new opportunity draw each year.
- Holders: annual choice to continue or exit.
- Access permits entry; payment and investment remain choices.
- After exit: return to the nonholder opportunity process.

▶ Interpretation and selected payments ▶ Friction experiments ▶ Permanent alternative

Entry probabilities by current cash



Targeted financial moments

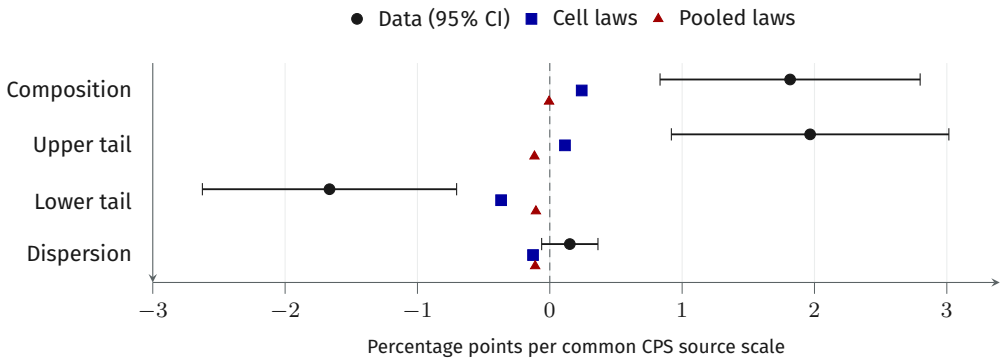
Moment	Unit	Data	SE	Model
Entry: low initial wealth	%	2.93	(0.26)	3.18
Entry: middle initial wealth	%	5.84	(0.36)	5.51
Entry: high initial wealth	%	10.36	(0.48)	10.44
Retention: low initial equity share	%	66.19	(1.43)	67.75
Retention: high initial equity share	%	76.31	(1.23)	74.34
Next equity share: all initial holders	%	33.38	(0.84)	34.40
Wealth change: initial nonholders	$	3,939	(778)	9,941
Wealth change: initial holders	$	1,946	(5,177)	511

Main discrepancy: excess nonholder wealth growth

◀ Back ▶ Additional diagnostics ▶ Alternative fit

Entry estimates from the model

17,606 matched initial nonholders, untargeted coefficients



◀ Back ▶ Permanent alternative

Earnings distributions in portfolio models

Study	Existing mechanism or comparison
Cocco, Gomes & Maenhout (2005)	Labor income, borrowing constraints and downside earnings risk
Catherine (2022)	Earnings downside when stock returns are poor
Shen (2024)	Skewed earnings risk, portfolio choice and participation costs
Gálvez & Paz-Pardo (2026)	Rich earnings dynamics and data/model risk-response regressions

This exercise: assess a specific prospective entry relationship after financial estimation.

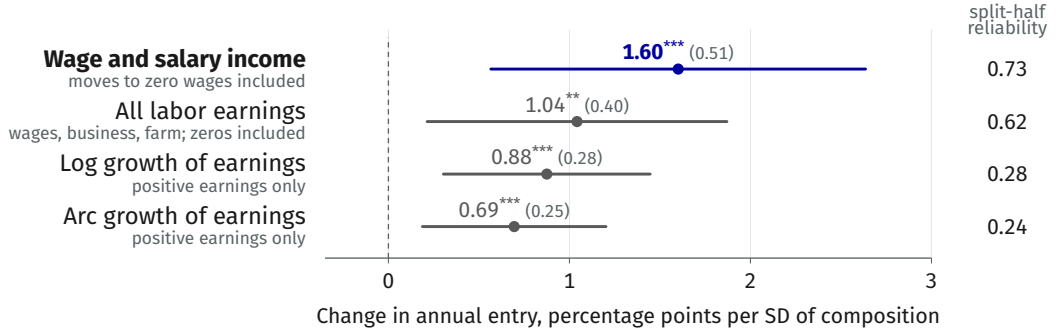
◀ Back ▶ Detailed comparison

Composition at fixed variance

	Symmetric risk	Upside-oriented risk
Lower outcome	$-1{,}000$ (50%)	-500 (80%)
Upper outcome	$+1{,}000$ (50%)	$+2{,}000$ (20%)
Lower partial variance	500,000	200,000
Upper partial variance	500,000	800,000
Total variance	1,000,000	1,000,000
Composition	**0**	**600,000**

Composition: upper minus lower partial variance.

Entry estimates across earnings measures



Positive entry estimates across all four measures. Zero-inclusive wages are the most reliable.

▶ Zeros and growth ▶ Skewness

Observed initial states

21,188 SIPP worker-year pairs, ages 25–63 at origin

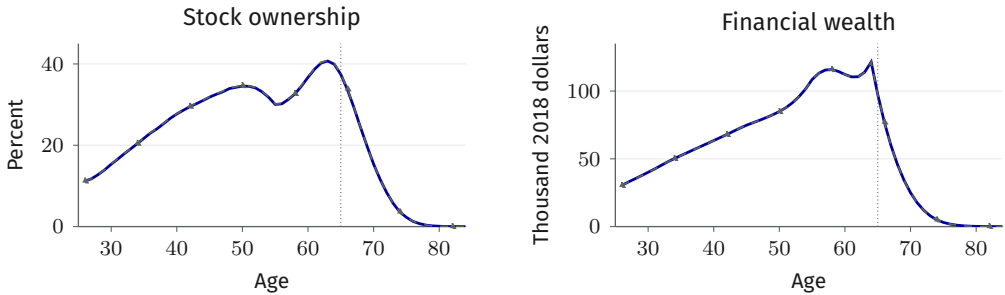
Input	Use in the model
Wages, wealth, ownership and shares	Latent earnings from wages; observed financial positions
Taxes and own pension contributions	Wages net of taxes and contributions
Own retirement income	PSID Social Security and pensions by education and age
Calendar returns	Returns on inherited portfolios in observed transitions

Future return expectations: stationary.

Conditional life-cycle profiles

Conditional projection from 452 observed age-25 origins in 29 cells

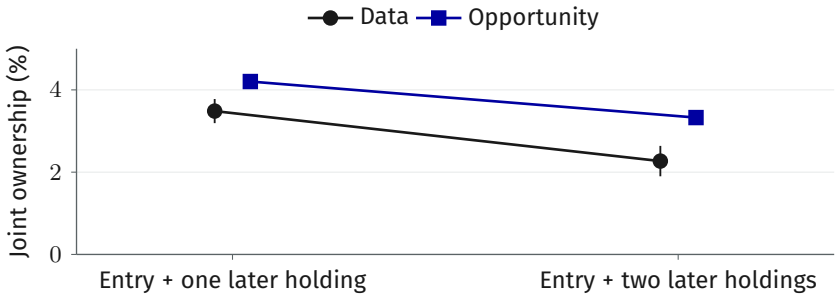
Solid: 141-node grid Dashed triangles: 201-node grid



Numerical accuracy: almost identical paths on finer cash and return grids.

Entry and subsequent ownership

Untargeted predictions on common data/model followup cohorts



Sustained ownership levels remain overpredicted.

▶ Common-cohort estimates

Samples

Sample	Observations
CPS linked earnings histories	88,862
CPS histories with zero destination wages	5,490
SIPP full entry sample	27,419
SIPP prospective allocation sample	31,569
Model financial-fitting worker-year pairs	21,188
Matched model/data entry regression	17,606

Worker transitions, household assets. Mixed-asset mutual funds included. Retirement-account allocation unobserved.

◀ Back ▶ Appendix index

Arc wage growth

$$g_{i,t+1} = \frac{2(y_{i,t+1} - y_{it})}{y_{i,t+1} + y_{it}}.$$

- Positive origin wages, zero destinations included: $g = -2$
- Weighted cubic age adjustment by industry–education group
- Residuals centered within industry–education–age cells
- Zero wages: nonemployment or a different income source, not necessarily dismissal

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Composition and skewness: the same controls

Zero-inclusive wage measure	Composition	Skewness
Each measure separately	1.601^{***}	0.912^{**}
	(0.506)	(0.414)
Both measures together	2.585	-0.726
	(1.670)	(1.195)
Split-half reliability	0.73	0.39

Same 27,419 observations; all headline controls, including V and $\sqrt{V}$.

Partial correlation given $V, \sqrt{V}$: 0.91. Neither joint coefficient is precisely separated.

Each measure uses its own source SD. CR1/t_{29} standard errors.

◀ Back ▶ Auxiliary total-earnings comparison

Alternative earnings measures

Construction	Composition (pp)	SE
Wages, zeros included	1.601***	0.506
Total labor earnings, zeros included	1.042**	0.405
Real log growth, positive support	0.875***	0.279
Nominal arc growth, positive support	0.695***	0.248

Controls: $V, \sqrt{V}, \mu, \mu^2$, household characteristics
Industry, education, age-band and year fixed effects

◀ Back ▶ Appendix index

Statistical inference

- **Coefficient tests:** 30 industry–education clusters, CR1/t_{29}
- **Wild-cluster bootstrap:** $p = 0.039$
- **Source uncertainty:** re-estimated CPS moments in separate checks
- Restricted samples: actual cluster count. Unadjusted coefficient stars.

Tail derivatives

Risk component in unstandardized units

$$f(V^+, V^-) = b_C(V^+ - V^-) + b_V(V^+ + V^-) + b_S\sqrt{V^+ + V^-}.$$

$$\frac{\partial f}{\partial V^+} = b_C + b_V + \frac{b_S}{2\sqrt{V}}, \qquad \frac{\partial f}{\partial V^-} = -b_C + b_V + \frac{b_S}{2\sqrt{V}}.$$

Composition, variance and standard-deviation coefficients are freely estimated in the same regression. A zero local variance response is not imposed.

- Half-difference: composition coefficient
- Half-sum: local dispersion derivative
- Common reference volatility and CPS source scaling

Risk preferences and sorting

- Risk preferences affect participation thresholds and earnings responses
- Composition slopes may differ across preference groups
- Reported risk appetite: noisy sorting diagnostic

Sorting remains a possible source of the association.

Entry and subsequent ownership

Composition estimate (pp)	One followup	Two followups
Any entry	2.09***	3.31**
Entry and later holdings	0.98*	1.89**
Entry with an interruption	1.11**	1.42
Initial nonholders	9,236	3,254

Joint outcomes partition entry within each cohort.
Imprecise estimates of retention among entrants. Followup selection and weaker three-date reporting screen.

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Period differences and age groups

Young-worker SIPP entry gap (pp)	Estimate
Original period gap	2.885
After symmetric overlap weighting	2.623
Change in gap	-0.262
SE of change	0.294
p-value of change	0.381

PSID: all ages, 1999–2017 baselines: -0.18 (SE 0.39).
Ages 45–65, 2009–2017 baselines: 0.44 (SE 1.30). All-age evidence is inconclusive.

Initial-holder outcomes

Initial-holder outcome	Composition (pp)	SE
Next-period ownership / retention	-3.72^{**}	1.71
Next risky share, controlling initial share	-0.51	0.94

- Retention wild-cluster bootstrap $p = 0.12$.
- All initial holders, including subsequent exits
- Initial-holder retention differs from survival among new entrants

◀ Back ▶ Appendix index

Participation and consumption

Auxiliary two-date log-utility example with endogenous saving

$$c^*(m, d) = \frac{m - \kappa d}{1 + \beta}.$$

$$\Delta \mathbb{E}[c] = -\frac{\kappa}{1 + \beta} \Delta \Pr(d = 1) \qquad \text{at fixed mean resources.}$$

- Small consumption response possible, exact invariance unnecessary
- IRA/annuity outcome: contribution participation only
- Furnishings: positive primary asinh estimate among holders. Imprecise dollar and original-construction estimates.

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Threshold and selection formulas

$$w^* = \frac{\kappa}{1 - e^{-b}} - h, \qquad \pi(w, F) = \Pr(Y \geq w^* - w).$$

$$\text{Entry} = \frac{\mathbb{E}[\pi(1-\pi)]}{\mathbb{E}[1-\pi]}, \qquad \text{Retention} = \frac{\mathbb{E}[\pi^2]}{\mathbb{E}[\pi]},$$

$$\text{Entry + } k \text{ later holdings} = \frac{\mathbb{E}[(1-\pi)\pi^{k+1}]}{\mathbb{E}[1-\pi]}.$$

$b > 0$: optimized log-return gain. h: safe nontradable terminal income.
Fixed wealth, independent draws across dates. Signs depend on resources and earnings laws.

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Selected references

- Catherine (2022). Countercyclical Labor Income Risk and Portfolio Choices over the Life Cycle. *Review of Financial Studies*.
- Catherine, Sodini & Zhang (2024). Countercyclical Income Risk and Portfolio Choices: Evidence from Sweden. *Journal of Finance*.
- Shen (2024). Countercyclical Risks, Consumption, and Portfolio Choice: Theory and Evidence. *Management Science*.
- Bonaparte, Korniotis, Kumar, Michaelides & Zhang (2025). Stock Market Ownership Transitions. *Management Science*.
- Gálvez & Paz-Pardo (2026). Richer earnings dynamics, consumption and portfolio choice over the life cycle. *Journal of Financial Economics*.
- Briggs, Cesarini, Lindqvist & Östling (2021). Windfall gains and stock market participation. *Journal of Financial Economics*.

Closest papers: outcomes and timing

Study	Empirical object
Catherine, Sodini & Zhang (2024)	Current risky shares including zeros, with participation decomposition. Unconditional and cyclical earnings skewness.
Shen (2024)	Changes in risky shares in the stockholder sample, related jointly to skewness and variance.
Bonaparte et al. (2025)	Actual ownership transitions related to income and wealth changes.
Gálvez (2023, working paper)	Participation responses following persistent earnings shocks.

Here: earlier CPS earnings composition and later SIPP entry among initial nonholders, at similar dispersion and resources.

Entry can include former owners returning to the market.

Permanent participation eligibility

$$T_i \in \{0, 1\}, \qquad T_i \text{ remains fixed throughout the path.}$$

- Current holders and reported former holders: $T_i = 1$.
- Among other initial nonholders, $\Pr(T_i = 1) = 0.119$.
- Eligible: annual choice to pay and hold equity. Ineligible: safe asset only.
- Five parameters fitted separately to the same eight financial targets.

Permanent exclusion applies to a fixed share of initially unknown nonholders.

Financial fit under both access models

Moment	Data	Opportunity	Permanent
Entry: low initial wealth	2.93	3.18	3.21
Entry: middle initial wealth	5.84	5.51	5.49
Entry: high initial wealth	10.36	10.44	10.39
Retention: low initial equity share	66.19	67.75	68.01
Retention: high initial equity share	76.31	74.34	73.83
Next equity share: all initial holders	33.38	34.40	33.81
Wealth change: initial nonholders	3,939	9,941	10,005
Wealth change: initial holders	1,946	511	501

Both models: positive wealth growth, excessive nonholder accumulation.

◀ Back ▶ Permanent eligibility ▶ Index

Entry estimates under permanent eligibility

Entry estimate (pp)	Data	Opportunity net	Permanent net
Composition	1.816	0.247	0.171
Upper tail	1.967	0.230	0.155
Lower tail	-1.665	-0.263	-0.188
Dispersion	0.151	-0.016	-0.016

- Pooled laws already give opposite signs. Both estimates move further from zero with cell laws.
- Net magnitudes remain well below the data in both models.

Participation dynamics under both access models

Untargeted outcome	Data	Opportunity	Permanent
Re-entry: reported former holders (%)	27.16	9.83	57.68
Entry + one later holding (%)	3.48	4.20	3.82
Entry + two later holdings (%)	2.27	3.33	2.24
Projected age-45 ownership (%)	—	31.83	16.31
Windfall response after two years (pp)	—	15.25	3.44

Permanent eligibility: closer fit to longer sustained ownership; excessive re-entry among reported former holders.

Parameter estimates by access model

	Opportunity	Permanent
Risk aversion γ	8.801	8.917
Discount factor β	0.811	0.810
Recurring mean κ_R	\$524	\$413
Log-cost dispersion σ_κ	0.944	1.013
Opportunity q / active share p	0.176	0.119
EIS ψ, fixed	0.5	0.5
Additional entry fee	0	0

Parameters fixed before earnings-risk and dynamic comparisons. No binding bounds.

Estimation criterion and grid refinement

$$Q = Q_E + 0.1Q_H + Q_W = 9.77.$$

- Marginal covariance blocks: entry, holder outcomes and wealth changes.
- Wealth covariance: \$2,000 regularization. Primary-grid growth buffer: \$500 for both groups.
- Native convergence. At 201/7: wealth growth of \$9,937 for nonholders and \$498 for holders.
- Excluded targets: earnings risk, duration, windfalls and life-cycle profiles.

◀ Back ▶ Other numerical diagnostics ▶ Index

Opportunity friction and recurring payments

- Opportunity: a nonholder can reconsider participation.
- Advice, attention and search are possible interpretations, not separately identified.
- Recurring cost paid only when holding equity.
- Offered cost: mean $524, median $335. Participants select lower draws.

Selected recurring payment	Real 2018 dollars
Entrants, supported origins	235
Retained holders	359

Wealth growth and saving net of returns

$$\Delta A_t = \text{gains on inherited assets} + Y_t - c_t - D_t \kappa_R \xi_t.$$

Nonholder wage tercile	Data growth ($)	Model growth ($)
Low	2,388	3,588
Middle	236	8,705
High	9,195	17,535

Holders have positive wealth growth but negative aggregate saving net of returns.

Pooled laws and initial-state sorting

- Fixed: origins, group wage levels, earnings posteriors and calendar returns.
- Remove cell adjustments; reoptimize at common financial parameters.
- Initial resources may remain correlated with earnings cells.
- Pooled holder wealth growth: about $483 below zero. Positive growth is imposed in the fitted cell model.

Four-corner accounting by risk measure

$$\Delta_L = \tfrac{1}{2}\{B(c,c) - B(p,c) + B(c,p) - B(p,p)\},$$
$$\Delta_P = \tfrac{1}{2}\{B(c,c) - B(c,p) + B(p,c) - B(p,p)\}.$$

Entry estimate (pp)	Laws	Decisions	Total
Composition	+0.274	-0.027	+0.247
Upper tail	+0.302	-0.072	+0.230
Lower tail	-0.245	-0.018	-0.263
Dispersion	+0.029	-0.045	-0.016

Decision rules dampen the upper-tail contribution and reinforce the negative lower-tail contribution.

Entry and later ownership: estimates

	One later holding	Two later holdings
Origins	5,459	1,801
Data composition (pp)	0.11	0.77
Data SE	(0.66)	(0.77)
Opportunity net, two seeds	0.19–0.20	0.18–0.22
Permanent net, two seeds	0.14–0.19	0.08–0.13

Smaller common cohorts: imprecise empirical composition estimates. Simulation-seed ranges are not confidence intervals.

Model fit and remaining discrepancies

Comparison	Model result	Discrepancy
Entry by wealth	Increasing across wealth terciles	Imperfect financial fit
Entry and earnings risk	Opposing net tail signs	Magnitudes well below data
Participation dynamics	Entry rises after gains and windfalls	Sustained levels too high; re-entry too low
Saving and positions	Positive wealth changes for both groups	Excess nonholder accumulation; too few small accounts

Permanent alternative: excessive re-entry; closer sustained-ownership fit.

Model comparisons and the entry benchmark

Study	Comparison
Catherine (2022)	Removes cyclical skewness while matching earnings variance, persistence and stock-return covariance.
Gálvez & Paz-Pardo (2026)	Compares an untargeted income-risk/risky-share regression in data and financially estimated models.
This paper	Compares the same composition-entry regression for observed initial nonholders and their model predictions.

Current cell/pooled predictions change the full earnings law, including mean growth. They do not isolate skewness alone.

◀ Back ▶ Comparison scope

Recursive household problem

$\rho = 1 - 1/\psi$, $\omega = 1 - \gamma$; x: resources after any recurring payment

$$V_{jt}(z,x) = \max_{(A,\alpha)\in\mathcal{A}_j(x)} \left[(x-A)^\rho + \beta s_t \left\{\mathbb{E}\left[\bar{V}_{t+1}(z', j, AR(\alpha) + Y')^\omega \mid z\right]\right\}^{\rho/\omega}\right]^{1/\rho}.$$

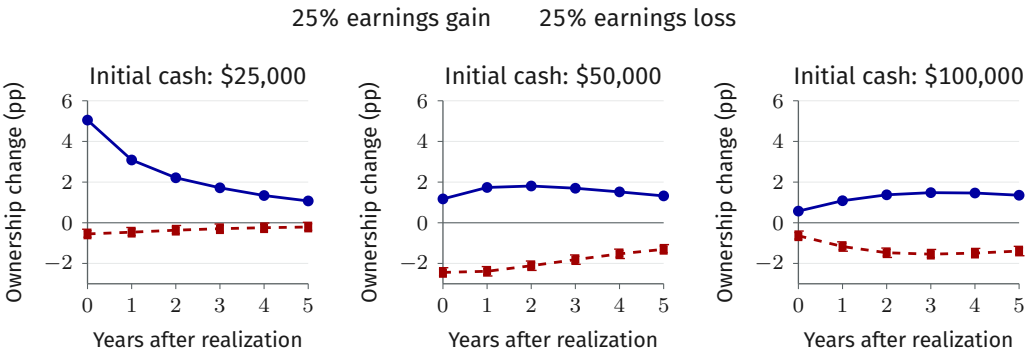
$$W_t(z,m,\xi) = \max\{V_{0t}(z,m), V_{1t}(z,m-\kappa_R\xi)\}.$$

$$\bar{V}_t(z,d,m)^\omega = (1-q_d)V_{0t}(z,m)^\omega + q_d\mathbb{E}_\xi[W_t(z,m,\xi)^\omega], \quad q_d = d + (1-d)q.$$

$\mathcal{A}_j$ imposes nonnegative assets and funded equity if $j = 1$. At age 84, $\bar{V}_{84}(z,d,m) = m$; no bequest motive.

Response to realized earnings shocks

Age 45: a one-year shock equal to 25% of a fixed reference gross wage



► Earnings news at fixed current resources ◄ Back

Realized earnings and earnings news

Experiment	What changes	Interpretation
Realized transitory shock	Current cash; fixed future laws	Gains can finance entry
Upper-tail news	Future distribution; fixed current resources	Participation response can be small
Composition news	Future distribution; fixed current resources	Response varies with cash and horizon

Composition-news responses can reverse sign at low cash. More upside need not raise entry.

Numerical precision

- Financial fit, matched entry projections and four-corner accounting: declared finer-grid checks passed.
- Life-cycle grids: 141/5 and 201/7. Some local policies, cash responses and consumption remain grid-sensitive.
- Realized-earnings events: separate 301-node refinement.
- Simulation dispersion and grid differences measure numerical, not sampling, uncertainty.

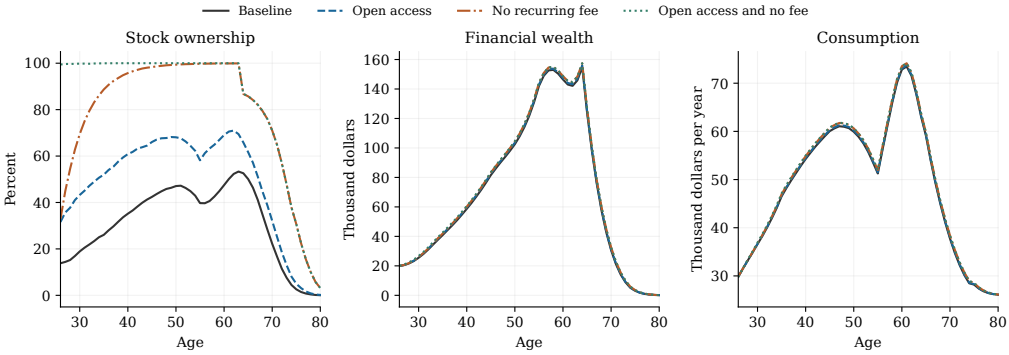
Additional model experiments

Family	Exercises in both specifications
Saving and portfolios	Age profiles, consumption, funded shares, entry and exit
Access frictions	Open access, zero and altered recurring costs
Earnings and retirement	Transitory and persistent risk, income insurance, pensions
Preferences and returns	Risk aversion, patience, EIS, expected returns and volatility
Household responses	Realized earnings, windfalls, fixed-resource news, value of future income

39 scenarios per model, plus conditional policy and valuation diagnostics. Alternative and sensitivity results in the online appendix.

Participation-friction counterfactuals

Remove each friction; reoptimize household choices



SMM targets and weighting

$$\theta = (\gamma, \beta, \kappa_R, \sigma_\kappa, q), \qquad \widehat{\theta} = \arg\min_{\theta} \{Q_E(\theta) + 0.1 Q_H(\theta) + Q_W(\theta)\}.$$

Block	Targets	Economic discipline
Entry (3), Q_E	Three rates by initial wealth	Opportunities and affordability
Holders (3), Q_H	Two retention rates and one next equity share	Continued participation and allocation
Wealth (2), Q_W	Two changes by initial ownership	Saving and resource use

Weight 0.1: entry and wealth growth receive priority over retention and share fit.

◀ Back ▶ Financial fit ▶ All eight targets ▶ Exact criterion

Earnings paths drive the composition difference

1. Earnings laws: change future earnings and resources; retain the same choices at a given household state.

2. Decision rules: reoptimize saving, participation and portfolio shares under the new laws.

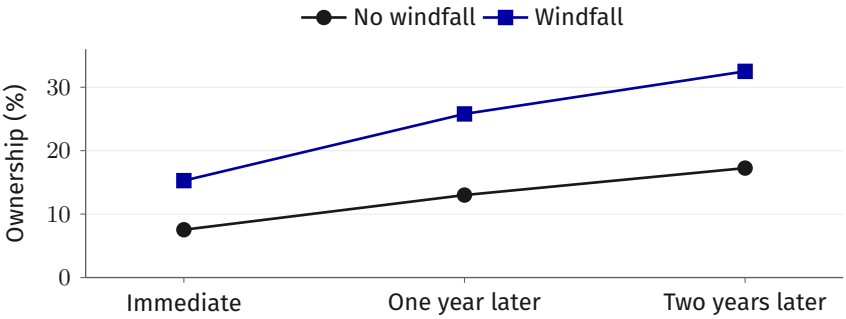
Contribution to the composition estimate	pp per source SD
Earnings laws and resulting resources	$+0.274$
Reoptimized decision rules	-0.027
Total: cell minus pooled	$+0.247$

Earnings paths change investable resources. Reoptimized rules partly offset the composition difference.

◀ Back ▶ Tail accounting and identities ▶ Index

Windfall response

Untargeted experiment: $150,000 to 423 age-44 initial nonholders



Model: $+7.7$ pp immediately; $+15.2$ pp after two years.
Swedish lottery evidence: about $+12$ pp in the winning year (Briggs et al., 2021).

◀ Back ▶ Realized earnings gains ▶ Index

Full entry specification

$$H_{i,t+1} = \alpha + \beta_E \widetilde{C}^{\text{up}}_{c(i,t)} + \gamma_1 \widetilde{V}_{c(i,t)} + \gamma_2 \widetilde{\sqrt{V}}_{c(i,t)} + \gamma_3 \widetilde{\mu}_{c(i,t)} + \gamma_4 \big(\widetilde{\mu}_{c(i,t)}\big)^2$$
$$+ \delta_1 \log\big(\max\{A_{it}, 1\}\big) + \delta_2 \log\big(\max\{\bar{y}^{(1)}_{it} + 1, 1\}\big) + \delta_3 \mathbf{1}\big\{\min_{m \in \mathcal{M}_{it}} y^{(1)}_{itm} \leq 0\big\}$$
$$+ \delta_4 a_{it} + \delta_5 a^2_{it} + \delta_6 \text{Male}_{it} + \eta_{j(i,t)} + \kappa_{e(i,t)} + \lambda_{b(i,t)} + \tau_{t+1} + u_{i,t+1}, \quad H_{it} = 0.$$

- **Outcome:** any-month stock/mutual-fund ownership next year
  Initial nonholders
- **Risk:** composition, dispersion and mean growth
  Fixed CPS source standardization
- **Controls:** assets, earnings, nonpositive earnings and demographics
  Industry, education, age-band and year fixed effects

▶ Inference ▶ Risk preferences

Entry under alternative earnings measures

	(1)	(2)	(3)	(4)
	Wages	Total earnings	Total earnings	Total earnings
	zeros included	zeros included	positive only	positive only
Growth measure	Arc	Arc	Real log	Arc
Upside composition	1.601^{***}	1.042^{**}	0.875^{***}	0.695^{***}
	(0.506)	(0.405)	(0.279)	(0.248)
Composition reliability	0.73	0.62	0.28	0.24
Group-specific cubic age adjustment	Yes	Yes	Yes	Yes
Risk and baseline controls	Yes	Yes	Yes	Yes
Industry, education, age-band, year FE	Yes	Yes	Yes	Yes
Nonholder transitions	27,419	27,419	27,419	27,419
Mean annual entry (%)	8.82	8.82	8.82	8.82
Assignment cells / inference groups	58 / 30	58 / 30	58 / 30	58 / 30

Additional specification results

Specification	Composition (pp)	SE
Prospective-sample baseline	1.65**	0.60
Industry × year; education × year	1.66**	0.62
Industry × education effects	1.86**	0.88
Reported, self-reported, stable households	2.56***	0.56
Controls for realized earnings	1.57**	0.59

▶ Risk preferences and sorting

How the literature uses earnings variance

- Expected-utility models generally depend on the full distribution.
- Empirical studies use variance measures of subjective uncertainty, persistent risk or transitory risk.
- Some calibrated models impose Gaussian earnings innovations; their parameters summarize a restricted distribution.
- Recent portfolio models explicitly allow skewness and nonlinear earnings dynamics.

This paper asks an empirical question: what does the balance of favorable and adverse variation predict about entry, given dispersion?

Which comparisons are performed?

Comparison	Scope
Composition and skewness	Closely related. Saved joint regressions do not establish incremental information beyond skewness.
Cell and pooled earnings	Same model and financial parameters; optimal rules recomputed. This is the main earnings-environment comparison.
Opportunity and permanent access	Separately fitted to the same financial targets; different dynamic misses
Published structural models	Mechanism comparison. No common-data re-estimation of entire published models.

◀ Back ▶ Skewness horse race ▶ Access models

Auxiliary total-earnings horse race

Saved zero-inclusive total-earnings comparison	Result
Composition coefficient (pp)	3.782
Two-survey standard error (pp)	2.261
Composition p-value	0.100
Two-test adjusted q-value	0.200
Joint test: both slopes zero	$p = 0.038$
Joint test: broader dependence sensitivity	$p = 0.145$

Total earnings, including zeros; adds zero-wage probability. Separate two-survey inference.

This is not the headline wage regression. The evidence does not establish an incremental association beyond skewness.

Measurement adjustment and regression controls

Step	Purpose
CPS earnings construction	Remove an industry–education-specific age profile from growth, then calculate within-cell distributional moments.
SIPP entry regression	Condition participation on individual resources, age and sex, plus industry, education, age-band and year fixed effects.

Education appears in both steps because they answer different questions.

Sex is an individual participation control; the headline risk cells are not sex-specific.

Separate industry, education and age-band effects do not absorb every industry–education–age interaction.

◀ Back ▶ Construction ▶ Full regression

The coefficient's unit

$$\widetilde{C}_c = \frac{C_c - \bar{C}_{\mathrm{CPS}}}{s_{C,\mathrm{CPS}}}, \qquad s_{C,\mathrm{CPS}} \simeq 0.034.$$

A one-unit increase in $\widetilde{C}$ means a 0.034 increase in raw composition.

The fitted coefficient is 0.01601 in probability units, or 1.601 percentage points.

It uses the same dispersion and individual controls throughout.

This unit describes differences between earnings environments. It is not a 1% earnings rise or an individual windfall.

◀ Back ▶ Tail units ▶ Illustration

Why different questions use different samples

Question	Observations	Reason
Main SIPP entry	27,419	Initial nonholders with required annual outcomes and controls
Entry plus later holdings	9,236 / 3,254	One / two additional complete followups
Model financial fit	21,188	Matched usable model states, including initial holders
Model entry regression	17,606	Initial nonholders within the model sample
SCE reallocation / share	2,136 / 3,332	Different outcome availability and eligibility

The matched empirical model coefficient is re-evaluated on those same 17,606 origins. Do not compare its model coefficient with the 27,419-origin headline as if the samples were identical.

◀ Back ▶ Additional samples

Does entry mechanically imply sustained ownership?

For an initial nonholder:

$$\Pr(\text{entry and later holding}) = \Pr(\text{entry})\Pr(\text{later holding} \mid \text{entry}).$$

A larger joint-outcome coefficient can come from more entry alone.

Restricting the sample to entrants selects on an outcome that composition may affect.

The evidence supports more joint entry-and-holding. Estimates of retention conditional on entry are imprecise.

Initial-holder exit is reported separately.

Why probabilities do not mechanically shrink slopes

$$\widehat{\beta}(Y) = (X'WX)^{-1}X'WY.$$

If $p = \mathbb{E}[Y \mid X]$, then

$$\mathbb{E}[\widehat{\beta}(Y) \mid X] = \widehat{\beta}(p).$$

Averaging binary realizations into probabilities removes simulation noise; it does not mechanically reduce the expected regression coefficient.

Current matched mean: model 6.375%, data 6.375%. No exact-zero model probabilities among 17,606 origins.

The shortfall concerns how probabilities vary with earnings composition. Model probabilities need not equal the true conditional expectation.

◀ Back ▶ Coefficient comparison

Completed alternatives do not close the magnitude gap

Specification	Composition (pp)	Nonholder wealth error	Holder wealth error
Current cell model	0.241	Reference	Reference
Cash-dependent opportunities	0.337	+$157	+$11
$50 recurring cost + setup	0.267	+$302	+$10
$100 recurring cost + setup	0.253	+$362	+$11
Matched empirical coefficient	1.816		

Wealth columns: change in each group's absolute wealth-growth error; positive is worse. Same 141-node resolution. Both groups also worsen on the finer grid.

Low-fee versions predict retention above 96%. No tested specification resolves magnitude while preserving the requested wealth fit.

◀ Back ▶ Permanent alternative

The earnings law: states and wage levels

$$F^{L}_{g,t}(\eta_{t+1}, n_{t+1}, w_{t+1} \mid \eta_t, n_t), \qquad L \in \{\text{cell}, \text{pooled}\}.$$

$$w_t = \mathbf{1}\{n_t = 0\} \exp\{f_h(t) + \ell_g + B_g(t) + \eta_t + \varepsilon_t\}.$$

State / component	Meaning
n_t	0 with wage work, 1 without wage work
$h,\ g$	Education type, industry–education group
$f_h(t),\ \ell_g$	Education age profile and group wage level
$B_g(t),\ \eta_t,\ \varepsilon_t$	Cell growth profile, persistent state, transitory shock

Gross wages w_t enter disposable resources Y_t after taxes and employee contributions. Other resources can remain when wages are zero.

◀ Back ▶ Cell coefficients ▶ Career transitions ▶ Cell and pooled

Four adjustments for each earnings cell

Coefficient	What changes	CPS discipline
a_c^{exit}	Wage-work departure hazard	Zero-wage destinations
b_c	Deterministic age-growth profile	Mean arc growth
s_c	Transitory and reporting-error scale	Upper and lower partial variances
a_c	Transitory probabilities and persistent jump hazards	Upper and lower partial variances

$$B_g(t) = \begin{cases} b_{g0}(t-35), & t < 45, \\ 10b_{g0} + b_{g1}(t-45), & t \geq 45. \end{cases}$$

Joint calibration to four cell moments. The persistent versus transitory allocation of asymmetry is weakly identified.

Pooled: zero cell adjustments; retain other inputs and reoptimize.

◀ Back ▶ Persistent transitions ▶ Transitory shocks ▶ Pooled comparison

Persistent earnings and wage-work transitions

$$\eta_{t+1} = \rho_h \eta_t + u_{t+1} + J_h^+ I_{t+1}^+ - J_{h,b(t)}^- I_{t+1}^- - m_{g,b(t)}, \quad u_{t+1} \sim N(0, s_{0h}^2).$$

One of three outcomes: promotion, loss, or no jump. The two jumps are mutually exclusive.

$$\widetilde{p}^{\pm} = \min\{\chi p_{h,b}^{\pm} e^{\pm a_c}, .45\}, \qquad p^{\pm}(\eta) = \min\{\widetilde{p}^{\pm} e^{\pm k_h^{\pm} \eta / \sigma_{\eta,h}}, .45\},$$

$$\chi = \frac{p_{h,b}^+ (J_h^+)^2 + p_{h,b}^- (J_{h,b}^-)^2}{p_{h,b}^+ e^{a_c} (J_h^+)^2 + p_{h,b}^- e^{-a_c} (J_{h,b}^-)^2}.$$

$m_{g,b}$ centers the 17-state band's stationary distribution. The normalization retains the uncapped center-state jump second moment.

$$\Pr(n_{t+1} = 1 \mid n_t = 0, \eta_t) = \min\{\delta_{h,b} e^{a_c^{\text{exit}}} e^{-\phi_h \eta_t / \overline{\eta}_h}, .6\},$$

$$\Pr(n_{t+1} = 0 \mid n_t = 1) = \min\{r_{h,b}^0 e^{r_h}, .95\}.$$

Earnings states evolve without wages; wage-work return r_h differs from financial q.

◀ Back ▶ Career parameters ▶ Transitory shocks

Transitory earnings and reporting error

Transitory earnings

$$\varepsilon^0 \sim (1-p_2)N(0,s_1^2) + p_2 N(m_2, s_2^2).$$

Ten nodes x_j with probabilities p_{0j}. Cell tilt and scale give

$$p_{cj} \propto p_{0j} \exp\{a_c \operatorname{sgn}(z_j) z_j^2\}, \quad z_j = \operatorname{clip}\big((x_j - E_0 x)/sd_0(x), -4, 4\big),$$

$$\varepsilon_{cj} = e^{s_c} x_j - \log \sum_k p_{ck} e^{e^{s_c} x_k} + \log \sum_k p_{0k} e^{x_k}.$$

The location adjustment preserves the baseline mean wage multiplier.

Reporting error

$$\log w_t^{\text{obs}} = \log w_t + e_t \quad (w_t > 0), \qquad e_t^0 \sim (1-p_u)N(0,t_1^2) + p_u N(0,t_2^2).$$

Cell scale also multiplies reporting-error nodes by e^{s_c}. Reporting error changes measurement, not household resources.

◀ Back ▶ Shock parameters ▶ Cell coefficients

Earnings parameters: career dynamics

Parameter	Noncollege	College
Persistence ρ_h	0.946	0.944
Small innovation SD s_{0h}	0.024	0.037
Promotion size J_h^+	0.328	0.522
Loss size J_h^-, ages 25–54	0.742	0.419
Loss size J_h^-, ages 55–64	1.150	1.346
Promotion state sensitivity k_h^+	0.248	0.140
Loss state sensitivity k_h^-	0.148	0.931
Age-band order: 25–34, 35–44, 45–54, 55–64		
Base promotion probabilities $p_{h,b}^+$	.117, .039, .013, .046	.082, .019, .009, .021
Base loss probabilities $p_{h,b}^-$	.036, .032, .023, .035	.010, .029, .030, .043
$f_h(t) = a_{0h} + a_{1h}x + a_{2h}x^2 + a_{3h}x^3, \quad x = (t-45)/20$		
a_{0h}, a_{1h}	10.502, .202	11.153, .118
a_{2h}, a_{3h}	$-.239, -.004$	$-.361, .087$

Jump sizes in log points; annual probabilities before cell and state adjustments.

◀ Back ▶ Other parameters ▶ Main earnings slide

Earnings parameters: shocks and wage work

Parameter	Noncollege	College
Transitory large-component probability p_2	.044	.031
Transitory small-component SD s_1	.060	.101
Transitory large-component mean m_2	$-.339$	$-.349$
Transitory large-component SD s_2	.627	.620
Reporting large-component probability p_u	.230	.231
Reporting small-component SD t_1	.164	.182
Reporting large-component SD t_2	.913	.819
Departure state sensitivity ϕ_h	1.463	1.435
Wage-work return log shift r_h	1.926	1.996
Age-band order: 25–34, 35–44, 45–54, 55–64		
Base departure probabilities $\delta_{h,b}$	.074, .068, .057, .073	.039, .030, .041, .069
Return inputs $r^0_{h,b}$	.244, .170, .084, .047	.924, .292, .263, .094

Log-point shocks. Return inputs precede the fitted shift and probability cap.

◀ Back ▶ Career parameters ▶ Law definition ▶ Main

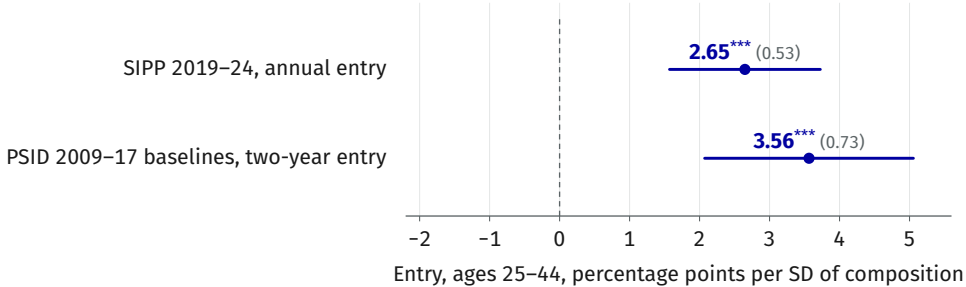
Why measure earnings risk earlier?

- CPS earnings changes are measured before the SIPP investment outcomes.
- A current shock cannot directly enter both the historical risk measure and the current portfolio report.
- Persistent group conditions, worker sorting and correlated shocks can still connect the two periods.

The timing reduces a source of contemporaneous correlation. It does not establish causal assignment of earnings risk.

◀ Back ▶ Group controls

Entry at ages 25–44



▶ Period gap and all-age results

Why earnings targets do not guarantee entry signs

1. Fit wages and wage-work transitions to earnings data.
2. Financial targets discipline saving, participation costs and access.
3. Neither step targets how entry varies with earnings composition.

The model must convert those earnings distributions into the observed entry response through resources and choices.

Matching the earnings moments alone does not guarantee the sign or size of that response.

◀ Back ▶ Fitting targets ▶ Mechanisms

How large is the entry difference?

Study and outcome	Risk comparison	Difference
This paper: next-year entry among nonholders	1 source SD in composition	$+1.60$ pp
Catherine, Sodini & Zhang (2024): current participation	2 SD in cyclical skewness	-2.3 to -8.5 pp

Here: 1.60 points relative to an 8.82% mean entry rate.

About 16 more entrants per 1,000; 18% of the mean, not 18 percentage points.

Different risk measures, populations and outcomes. The published range is across specifications, not a confidence interval.

Source: Catherine, Sodini & Zhang (2024), Table IV and p. 1774.

Related work in progress

van den Akker, de Bresser, Teppa & Trucchi (2026)

Subjective Expectations and Household Portfolio Choices

- Subjective expectations linked to administrative portfolios.
- Abstract: upward income risk predicts investment; entry patterns are concentrated among younger households.

Here: measured group earnings composition and entry, controlling for total variance and resources.

Related conference work, verified in the IAAE 2026 program. Full specifications and journal publication have not been verified.